world's fastest-growing and fifth-largest economy, become the third largest behind the US and China by 2027. It just may take longer now.

India's chief economic advisor V. Anantha Nageswaran termed the latest data "disappointing", but asserted that the situation wasn't alarming. "India's potential GDP growth is in the range of 6.5-7 per cent and we should be able to achieve it on the back of things that we have done already in the past 10 years—whether it is in terms of augmenting the physical infrastructure or achieving financial inclusion," he said.

The fault lines

The bleak growth numbers highlight several fault lines in the economy: a sharp slowdown in manufacturing, with growth plunging to just 2.2 per cent in the second quarter of FY25 from 14.3 per cent in the same period last fiscal; mining and quarrying, which slipped to a degrowth of -0.1 per cent from 1.1 per cent growth; and electricity, gas and other utility services, where growth decelerated to 3.3 per cent from 10.5 per cent. The manufacturing sector's slower growth is attributed to sluggish exports. An economic slowdown in the developed world, coupled with the crisis in the Red Sea—where Iran-backed Houthi rebels have been disrupting trade—has impacted India's merchandise exports, including petroleum products, textiles, chemicals, auto parts, and iron and steel. For instance, India exported petroleum products worth $31.8 billion (Rs 2.7 lakh crore) in April-August this year—down from $35.3 billion (Rs 3 lakh crore) in the same period last year. Meanwhile, rains disrupted mining. Cooler temperatures in many parts of the country due to a prolonged monsoon led to reduced power consumption.



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V. ANANTHA NAGESWARAN
Chief Economic Advisor to the government

Another factor contributing to the decline in GDP growth was sluggish government spending. Government expenditure on capital goods tends to create a ripple effect, boosting the manufacturing sector, particularly industries like steel, cement and other construction materials. However, that was not the case in the second quarter. "The government's capital spending has been little slower in the second quarter," says Dharmakirti Joshi, chief economist with Crisil. "Only 37 per cent of the total budgeted amount for investment was spent in the first six months. Therefore, there is a need

6.7%
Q1, FY25

5.4%
Q2, FY25



INTO THE DEPTHS

GROWTH HAS DECLINED SINCE THE FIRST QUARTER OF THE PREVIOUS FISCAL, EXCEPT FOR ONE QUARTER